

Musk acted before U.S. watchdog could bite

DOGE dismantled agency otherwise able to oversee his new payment tool

BY TONY ROMM

About a week before Elon Musk helped take over the nation's leading consumer financial watchdog, his social media site, X, unfurled the details of a new payment system that may have drawn federal scrutiny — underscoring the complicated web of personal interests at stake as the world's richest person advises President Donald Trump on a reconfiguration of the U.S. government.

The system is called X Money, and in the vision sketched out by executives, it would allow millions of users on X to instantly send money to friends, family members and others. Heralding it as a breakthrough in finance, the company said in late January it would launch this year with the support of Visa, which processes billions of transactions globally.

Because of its direct ties to bank accounts and debit cards, X Money normally would fall under the remit of the Consumer Financial Protection Bureau, an agency with vast powers to crack down on unfair, deceptive and predatory

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Critic's Notebook: The impact of a Kennedy Center takeover. C1

American Marc Fogel is released by Russia

Trump envoy negotiates 'exchange' for wrongfully imprisoned teacher

BY KAREN DEYOUNG AND SABRINA RODRIGUEZ

Marc Fogel, an American teacher arrested in Moscow in 2021 for alleged drug smuggling and later sentenced to 14 years in prison, was released from a Russian prison Tuesday following a negotiation headed by Steve Witkoff, President Donald Trump's special envoy to the Middle East, the White House announced.

A statement released Tuesday afternoon by Trump national security adviser Michael Waltz said Fogel, traveling with Witkoff, "is leaving Russian airspace."

"By tonight," the statement said, Fogel "will be on American soil and reunited with his family and loved ones thanks to President Trump's leadership." Adam Boehler, Trump's newly named special presidential envoy for hostage affairs, posted a picture of Fogel apparently aboard a private aircraft.

Later, the White House said Trump would meet with Fogel in the Diplomatic Reception Room at 10 p.m.

Waltz's statement said that Witkoff "and the President's advisers negotiated an exchange," although it did not say who or what

SEE FOGEL ON A18



CAROLYN VAN HOUTEN/THE WASHINGTON POST

Soldiers walk from a cave that once housed Islamic State fighters in Puntland, a remote semiautonomous region in Somalia's north.

The Islamic State has regrouped in Somalia — and it has global ambitions

Grinding fight against the group has immense stakes but little Western support

BY KATHARINE HOURELD IN BALIDHIDIN, SOMALIA

The dead Islamic State fighter was sprawled out on the ridge, bloodstains darkening in the sun, as a line of heavily armed Somali soldiers snaked down the mountainside to a fortified cave — their camouflage uniforms marking a new front line in the fight against the global terrorist group.

The Islamic State's Somali branch has become its new operational and financial hub, according to U.S. Africa Command (Africom), and local officials estimate there are as many as 1,000 militants under its command. Large numbers of foreign fight-

ers have flowed into Somalia, establishing a formidable force that now threatens Western targets. The branch has also become a key source of funding for other Islamic State affiliates around the world, which have killed thousands of people, including U.S. soldiers, according to U.N. investigators.

The struggle to contain this rising threat has fallen to forces in Puntland, a remote semiautonomous region in one of the world's poorest, weakest nations. Puntland's soldiers are now locked in a grinding fight — one with major international implications, but without Western support.

More than a month into their largest offensive against the group, Puntland officials say they have recaptured about 50 Is-

lamic State outposts and small bases and killed more than 150 fighters, nearly all of them foreign. But the toll on their side is growing, too, and there are fears here about how much longer they can sustain the fight.

Washington Post reporters toured the ever-expanding battlefield in Puntland, including recently discovered Islamic State caves; spoke to imprisoned Islamic State deserters who said they were forced to join the group; interviewed Somali and U.S. officials; and reviewed evidence collected from captured phones and drones. What emerges is the most complete account to date of how the Islamic State was able to regroup here over the past decade after losing its self-

SEE SOMALIA ON A10

Tariffs on China leave small businesses in a bind

BY JACLYN PEISER AND AARON GREGG

When a major retailer offered to carry Rozalynn Goodwin's patented barrettes at more than 870 stores in November, she was thrilled and relieved that, after more than a decade, her business was taking off.

But dread set in weeks later when President Donald Trump ordered an additional 10 percent

With little flexibility on production, rising costs threaten their survival

tariff on imports from China — where she manufactures hair clips for her company Confidence by GaBBY Goodwin. She didn't think her Columbia, South Caroli-

na-based business could absorb the added levy, but she risked losing sales if she passed the extra cost on to consumers.

Scaling up production "would have been a challenge anyway," she said, "but the tariffs make it even more of a challenge."

Trump's tariffs are forcing many small and midsize firms to face tough decisions that could threaten their survival. Among the dilemmas is whether to ab-

sorb higher costs or pass them on to consumers, which risks losing them to bigger competitors. Some businesses have already seen customers cancel orders to save money, said Jess Meher, a senior vice president at Loop Returns, a returns-management software company.

And the stakes are high for the U.S. economy. The country's 33.2 million small businesses,

SEE TARIFFS ON A16



SARAH L. VOISIN/THE WASHINGTON POST

Like many Hispanic residents, Leydi Flores worries about how O'Neill, Nebraska, is being affected by federal immigration raids. The tiny town went through a shattering raid in 2018.

Residents fear repeat of ICE raid that gutted town

O'Neill, Neb., is still reeling from a 2018 action that forced businesses to close and scarred immigrants

BY ANNIE GOWEN AND SARAH L. VOISIN

O'NEILL, NEB. — The Flores family invited almost everybody they knew to baby Elian's first birthday party, but Leydi Flores wasn't sure whether anyone would show up.

Her family's Mexican restaurant has had a ghostly feel in recent days, as many Latino families in this rural farming town lie low, scared that they might become targets of President Donald Trump's sweeping immigration crackdown. Across the country, raids have ensnared thousands and crowded immigration detention centers.

"I'm worried," Flores said, cuddling her grandson in a banquet room at the restaurant as her daughter put together an enormous cardboard Winnie-the-Pooh for the celebration. "We invited all these people. Will they come? Do they have visas or not? Will the police be outside watching?"

The close-knit community in O'Neill is still recovering from a 2018 raid by Immigration and Customs Enforcement agents at several agricultural facilities, which gutted the town, forced

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Record donation A longtime professor gave American University its largest-ever gift from an individual, much of which will benefit its School of Education. B1

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Salman Rushdie took the stand in the trial of the man accused of stabbing him. C1

FOOD

At Moon Rabbit, chef Susan Bae is serving up arguably the most inventive desserts in the Washington restaurant scene right now. E1

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